

CollectaLab Case Description

The senior management of **CollectaLab Pty Ltd** were excited to learn about the various opportunities identified in your Analysis Plan. In particular, they believe recent advances in digital platforms, automation, analytics, and (generative) artificial intelligence could help the business improve customer service performance, increase operational efficiency, strengthen customer trust, and support future growth.

They now hope that your *Strategy Analysis and Solution Design* will help them to:

1. better understand how digital solutions could address their current problems, and
2. identify the most appropriate solution that offers business value and is cost-effective for CollectaLab.

As in Assignment 1, you will be competing with other business analysts to convince CollectaLab that your proposed solution is the most appropriate for the business.

History: CollectaLab Pty Ltd was founded in Melbourne in 2016 by two pop-culture enthusiasts who saw a gap in the market for curated collectibles, limited-edition merchandise, and fandom-based lifestyle products. What began as a small online store selling anime figures, blind boxes, gaming merchandise, and display accessories quickly grew into a well-known Australian brand among collectors, hobbyists, and gift buyers. By 2021, the company had attracted the attention of Horizon Peak Capital, a private investment firm looking to scale fast-growing consumer brands. After acquiring the business, Horizon Peak repositioned the company as CollectaLab Pty Ltd and pushed aggressively into growth. The business expanded its product range, launched exclusive collaborations, and built a strong digital following across Australia, New Zealand, and Singapore.

Head office:	Melbourne, Victoria (VIC), Australia
Distribution centre:	Truganina, Victoria (VIC), Australia
Number of staff:	Head Office: 48; Warehouse and Fulfilment: 160
Financials:	\$118 million annual turnover

CollectaLab sells directly to consumers through its online store and also supplies selected Australian retailers, pop culture stores, and specialty hobby outlets. A large share of its sales comes from limited-edition product launches and pre-order campaigns. Many customers are repeat buyers who expect real-time updates, consistent communication, fast issue resolution, and a smooth post-purchase experience.

This creates strong pressure on CollectaLab to deliver a responsive and trustworthy customer service experience. For many of its customers, buying a limited-edition item is more than a routine purchase. These products are often emotionally significant, difficult to replace, and closely tied to fandom identity. Customers want clear answers about authenticity, shipping, delays, stock availability, damaged packaging, returns, and restocks. When CollectaLab's communication is poor, frustration spreads quickly across online communities and social media platforms.

Consultant Brief:

Until recently, CollectaLab relied heavily on strong brand appeal, product scarcity, and customer enthusiasm for collectibles culture. However, the environment has become far more demanding. The market is now crowded with fast-moving competitors, many of whom use AI-generated content, personalised recommendations, always-on customer engagement, and highly responsive digital service to win market share. CollectaLab's own customers now expect immediate responses, accurate updates, and seamless support across multiple digital channels.

Although the business has grown rapidly, its customer service operation has not evolved at the same pace. Customer enquiries arrive through different channels:

- Email
- Instagram DMs
- Website chat
- Facebook Messenger
- WhatsApp
- TikTok comments

However, there is no centralised customer service platform, no unified customer record, and no consistent process for tracking conversations across channels. Some staff maintain their own spreadsheets or notes, while others depend on screenshots, inbox history, or memory. This has led to inconsistent service quality, duplicated work, and cases where customers receive conflicting responses from different staff members.

These issues are particularly severe during product launches and pre-order campaigns. Customers frequently ask whether a pre-order is delayed, why another customer received an item earlier, whether they can cancel or swap an order, whether an item is authentic, whether a parcel can be tracked, whether a product will be restocked, or whether damaged packaging qualifies for return. At present, these questions are handled manually by staff. During peak periods, response times can stretch to several days. Some customers send repeated follow-up messages across multiple channels, making the workload even harder to manage and increasing the likelihood that key messages are missed.

Customer service is also affected by poor coordination with other parts of the business. Marketing may promote a product as “shipping now” while the fulfilment team is still waiting on inbound stock. Customer service staff often need to message the warehouse or product team directly to confirm order status, ETA changes, or stock issues. In some cases, support staff respond to customers before receiving confirmation, which results in inaccurate information being communicated. This creates frustration for both customers and employees, and it weakens trust in the company's professionalism.

The cost of these inefficiencies is rising. A large share of enquiries is repetitive and transactional, including order tracking, shipping updates, pre-order ETAs, return conditions, and restock questions. These interactions consume substantial staff time. In 2025, CollectaLab lost a major retail partnership with a Melbourne-based hobby chain, which cited poor coordination, slow issue resolution, and low confidence in CollectaLab's ability to manage customer problems professionally. This has increased the urgency for change.

At the same time, management is aware that the poor customer service at CollectaLab also affects their brand. The company's customers are highly active online, and negative support experiences can spread rapidly through Reddit, TikTok, Discord, and collector communities. A slow or inconsistent support experience can damage future sales and the trust that the brand depends on. Horizon Peak Capital, which is preparing CollectaLab for a potential future sale or public listing, is concerned that the business currently lacks the digital maturity expected of an investor-ready company.

CollectaLab's recently appointed Managing Director, **Mia Chen**, believes the company can no longer scale through manual, fragmented, and reactive customer support practices. She wants CollectaLab to become a digitally mature, customer-centric business that can compete with AI-first rivals while preserving a brand experience that feels authentic and community-aware. Chen is especially interested in solutions that leverage generative AI to help the company improve service speed and consistency. However, she is also conscious that a poorly designed AI solution could create new problems. CollectaLab's Gen Z customers are highly sensitive to generic, robotic, or low-effort communication, so any proposed solution must improve efficiency without damaging the brand's voice or customer trust.

CollectaLab is now inviting competitive proposals from consulting teams to design a comprehensive roadmap showing how a *digital solution* can address the issues outlined above. The goal is to create a more unified, scalable, and customer-centred service operation, reduce the burden of repetitive manual work, improve the quality and consistency of customer interactions, and position CollectaLab as a digitally enabled, investor-ready business.